

EXECUTIVE SUMMARY

A. Introduction

The City of Manila was founded on June 24, 1571, as a municipal government. It became the first chartered City by virtue of the Philippine Commission Act No. 183 on July 31, 1901, and gained autonomy with the passage of Republic Act (RA) No. 409 or the “Revised Charter of the City of Manila” on June 18, 1949.

As of December 31, 2024, the City of Manila has a total personnel complement of 21,074, consisting of 40 elected officials, 8,214 permanent, 500 co-terminus, 2,701 contractual, 9,599 job orders, and 20 consultants.

B. Financial Highlights

The summary of the financial position and financial performance of the City for CYs 2024 and 2023 is as follows:

Particulars	2024	2023	Increase/ (Decrease)
Assets	87,518,160,580.02	81,680,431,791.61	5,837,728,788.47
Liabilities	36,403,818,139.18	31,374,764,902.33	5,029,053,236.85
Equity	51,114,342,440.90	50,305,666,889.28	808,675,551.62
Income	21,837,091,382.48	21,289,256,041.31	547,835,341.17
Expenses	16,620,119,685.20	18,671,497,913.81	(2,051,378,228.61)
Transfers, Assistance and Subsidy From	-	26,892,809.75	(26,892,809.75)
Transfers, Assistance and Subsidy to	(832,768,716.90)	(851,267,487.40)	18,498,770.50

The total appropriations for the General Fund (GF) and Special Education Fund (SEF) of the City for CY 2024 totaled P25.885 billion. The obligations charged against these appropriations amounted to P18.053 billion.

Fund	CY 2024	
	Appropriations	Obligations
Current Appropriation		
General Fund	23,200,000,000.00	14,512,308,687.94
Special Education Fund	2,684,762,911.00	1,964,810,375.32
Subtotal	25,884,762,911.00	16,477,119,063.26
Continuing Appropriations		
General Fund	-	1,575,673,278.58
Subtotal	-	1,575,673,278.58
Total	25,884,762,911.00	18,052,792,341.84

The total revenue of P21.837 billion collected during the year was sourced from the following:

Particulars	GF	SEF	Total
Tax Revenue	10,126,851,810.31	5,607,943,359.23	15,734,795,169.54
Share from Internal Revenue Collections	4,507,349,812.00	-	4,507,349,812.00
Service and Business Income	1,585,627,263.36	7,869,669.57	1,593,496,932.93
Shares, Grants and Donations	6,033.36	-	6,033.36
Miscellaneous Income	1,443,434.65	-	1,443,434.65
Total	16,221,278,353.68	5,615,813,028.80	21,837,091,382.48

C. Operational Highlights

The City reported, among others, the following significant accomplishments in CY 2024:

- a. The City was awarded Seal of Local Good Governance from the Department of Interior and Local Government, Edukampyon Awards, and High Functional City Award for anti-drug initiatives.
- b. Manila ranked 2nd Most Competitive Highly Urbanized City in the Philippines;
- c. Launched CLUP 2035 and comprehensive planning documents for city zoning, investment, and development;
- d. For Senior Citizens program, issuance of 43,000+ IDs, distributed 176,000 birthday cakes, and processed cash gifts to 25 centenarians and quarterly payrolls for nearly 190,000 beneficiaries.
- e. The Public Employment Service Office (PESO) assisted 40,905 residents through 17 mega job fairs, 157 local recruitment events, TUPAD, SPES, GIP, livelihood programs and career guidance for over 27,000 students;
- f. The Manila Sports Committee hosted more than 30 fun runs under the “Move Manila – Car-Free Sunday”
- g. Kalinga sa Manila Project to six districts of Manila;
- h. Distribution of monetary assistance to families affected by multiple fire incidents;
- i. Distribution of Christmas food boxes to six districts of Manila;
- j. Construction/ repair/ rehabilitation/ improvement/ upgrading/ installation of various structures and facilities:
 - Completion of the following major infrastructure projects:
 1. Construction of Pedro Gil Residences
 2. Construction of San Sebastian Residences
 3. Installation of Solar Studs Phase IV
 4. Construction of Construction of Six (6) - Storey School Building at Emilio Jacinto Elementary School
 5. Construction of Six (6) - Storey School Building at Aurora A. Quezon Elementary School

D. Scope and Objectives of Audit

The audit covered the accounts and operations of the City of Manila for the period January 1 to December 31, 2024. The objectives of the audit are to: (a) verify the assurance that may be placed on Management's assertions on the financial statements; (b) recommend agency improvement opportunities; (c) determine compliance with existing laws, rules and regulations; and (d) determine the extent of implementation of prior years' audit recommendations.

E. Auditor's Opinion on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements due to the deficiencies noted in the audit that materially affected the balances/totals of certain accounts, which are discussed in detail in Part II of the report, and summarized as follows:

1. The reliability of the reported Cash in Bank - Local Currency, Current Account (CIB - LCCA) account amounting to P8.072 billion, cannot be ascertained due to the following: (a) Existence of outstanding reconciling items in the Bank Reconciliation Statement (BRS) totaling P155.799 million and P142.181 million for additions and deductions, respectively, which remain unadjusted in the books; (b) Existence of variance totaling P96.510 million between the Subsidiary Ledgers (SL) balance of the Office of the City Accountant (OCAT) and cashbook balance of the City Treasurer's Office (CTO); and P160.925 million between the SL and the confirmed balances from Authorized Government Depository Banks (AGDBs); and (c) Existence of bank accounts for expropriated properties that were opened and confirmed by the bank as savings accounts and were recorded as CIB - LCCA under the General Fund (GF) books totaling P145.025 million. The above conditions resulted in the misstatement of affected accounts contrary to Paragraph 27 of International Public Sector Accounting Standard (IPSAS) I, Item 3.0 of COA Circular No. 96-011 and Section 20 of COA Circular No. 92-382 dated July 3, 1992.

We recommended that Management require:

a. The CTO to:

- Immediately forward to the OCAT the supporting documents for the recording of necessary adjusting entries;
- Regularly coordinate with the OCAT to facilitate reconciliation of cashbook balances with the OCAT SLs for CIB accounts; and
- Promptly communicate noted discrepancies with the OCAT so adjustments, if any, can be recorded in a timely manner both in the books and BRS.

b. The OCAT to:

- Ensure that BRS are prepared for all active bank accounts and reconciling items identified in the reports are promptly recorded in the books; and

- Ensure that identified reconciling items in the BRS are immediately adjusted in the books to prevent accumulation of unadjusted variances between records of the OCAT, CTO and AGDB balances.
2. The accuracy, existence and completeness of various receivables accounts as of December 31, 2024, cannot be ascertained due to the following: (a) Receivables totaling P276.143 million were recorded in total amount without SL details or supporting documentation to substantiate the composition of the balances; (b) Unsupported balances of Inter-Agency Receivables amounting to P23.682 million; (c) Misclassified tax credits amounting to P510.615 million in the Other Receivables - Others account and unrecorded Other Receivables amounting to P770.569 million; and (d) Unreconciled balance of P9.309 million due to non-recording of cleared dishonored checks under the Other Receivables - Dishonored Checks account. These are contrary to Paragraph 27 of the IPSAS 1; Sections 111 and 112 of PD No. 1445; and Items 6.1 and 6.2 of COA Circular No. 2016-005, dated December 19, 2016.

We recommended that Management require:

- a. The OCAT to:
- Maintain SLs for all receivable accounts to ensure that detailed records support the bulk amounts reflected in the financial statements.
 - Immediately coordinate and reconcile with the concerned NGAs and GOCCs to confirm the unconfirmed balances and establish the correct amount for the affected accounts.
 - Prepare adjusting entries to correct misstatements identified upon thorough evaluation of the transactions;
 - Conduct a regular review and reconciliation of receivables, including monthly or quarterly reporting, to ensure the accuracy of balances in the financial statements; and
 - Coordinate and reconcile with the Patrimonial Unit of the City General Services Office's (CGSO) to establish the correct balances for the leased properties of the City.
- b. The Manila Urban Settlements Office (MUSO) to:
- Submit a complete and up-to-date schedule of receivables, including collections and ageing reports pertaining to the Land for the Landless program, to OCAT on a timely basis.
3. The accuracy of the Inventory account, totaling P309.908 million, as presented in the FS could not be determined due to: (a) Adjustments to year-end balances with net amount of P757.257 million without corresponding documentation; (b) Unreconciled differences between the OCAT records and the CGSO Reports of Physical Count of Inventories (RPCI) resulting in misclassification or misposting within Inventory

sub-accounts amounting to P301.743 million; (c) Inability of the OCAT to maintain Stock Ledger Cards (SLC); and (d) Unreliability of the CGSO RPCI due to discrepancies between CGSO reports and hospitals concerned caused by: (1) incorrect cut-off; (2) non-maintenance of stock cards; and (3) inconsistencies in the preparation and submission of Summary of Supplies and Materials Issued (SSMI). These are not in accordance with Paragraph 44 of IPSAS 12, Section 114 of the Manual of the New Government Accounting System (MNGAS) for Local Government Units (LGUs), and Section 111 of PD No. 1445.

We recommended that:

- a. The OCAT to –
 - Provide documentation for inventory adjustments when reconciling the RPCI with accounting records;
 - Strictly implement the Perpetual Inventory Method through maintenance of SLC;
 - Coordinate with CGSO on the reconciliation and review of inventory accounts, to include the proper classification of inventories; and
 - Subsequently, prepare adjusting entries to correct the balances of Inventory accounts based on reconciliations conducted.
 - b. The CGSO to –
 - Observe proper cut-off procedures to ensure that the RPCI reflects correct year-end balances;
 - Maintain and update stock cards for all inventory items, and ensure that the same are readily available for examination;
 - Standardize the preparation and submission of SSMI; and
 - Explore the acquisition of an automated inventory system.
 - c. For hospitals to submit and reconcile their records with CGSO on a regular basis.
4. The reliability and accuracy of the Construction in Progress (CIP) account balance totaling P4.086 billion cannot be ascertained due to: (a) Non-reconciliation of the OCAT records and the CGSO RPCPPE of the CIP, with discrepancies amounting to P6.532 billion due to: (i) Projects appearing in the RPCPPE of CIP but were not recorded in the books, amounting to P0.106 billion; (2) Projects that have been completed but remain recorded under CIP and have not yet been reclassified to their corresponding asset accounts amounting to P2.097 billion; (3) The CIP account is credited for completed projects. However, the corresponding debit entry to initially recognize the project was not recorded, amounting to P0.241 billion; (4) Double recording of transactions amounting to P0.178 billion; and (b) Non-maintenance of the CIP Ledger Card (CIPLC) for each project by the OCAT. These practices are not

in accordance with Paragraph 27 of the IPSAS 1, Section 16 of Chapter 1 of the MNGAS for LGUs, Volume II, and Section 111 of PD No.1445. Thus, the fairness of the CIP account balance could not be established.

We recommended that Management direct the OCAT to:

- a. Analyze the CIP account and make appropriate adjustments to attain its fair presentation;
- b. Regularly coordinate with CGSO and other implementing offices to timely recognize the completion of projects and consider the formulation of guidelines that will address issues such as delayed processing of final billings by contractors to facilitate the timely and proper accounting treatment of CIP transactions; and
- c. To prepare and maintain the required CIPLC.

F. Summary of Suspensions, Disallowances and Charges as of Year-end

The audit suspensions, disallowances and charges amounting to P42,538,364.47, P67,199,797.90 and P33,046,763.65, respectively, remained unsettled by the concerned officers/employees and third parties determined to be liable thereto due to the inability of the Management to fully enforce settlement of the same as required under Section 7.1.1 of COA Circular No. 2009-006 dated September 15, 2009.

G. Status of Implementation of Prior Years' Audit Recommendations

Of the 27 prior years' audit recommendations contained in the previous years' AAR, 17 or 62.96 percent were implemented and 10 or 37.04 percent were not implemented during the year.